

This is a project I did as an undergraduate for intermediate accounting II. The project involved heavy online research as well as analytical thinking/application. I believe I made an A on the project, which was a significant portion of my final grade for the course.

Analyst's Name	Zach Taylor
Name of Company	Cisco Systems
Period of Analysis	August 1, 2008 to July 31, 2013
Type of Analysis	Five Year Financial Statement Analysis and Financial Trends

ACC 3010: Financial Statement Analysis Project

Contents:

1. Company Background
2. Stock Performance: Five Year Trends
3. Income Statement Analysis: Five Year Trends
4. Balance Sheet Analysis: Five Year Trends

[Note: See further instructions on the spreadsheet template. Complete the spreadsheet template first, then complete this template. Submit this file and the Excel spreadsheet for your company on Blackboard on the due date. Try to stay as close as possible to the recommended page lengths].

[Note: Eliminate all text within brackets and replace with your answers. Eliminate the brackets [], too, but keep the tables/boxes for your text].

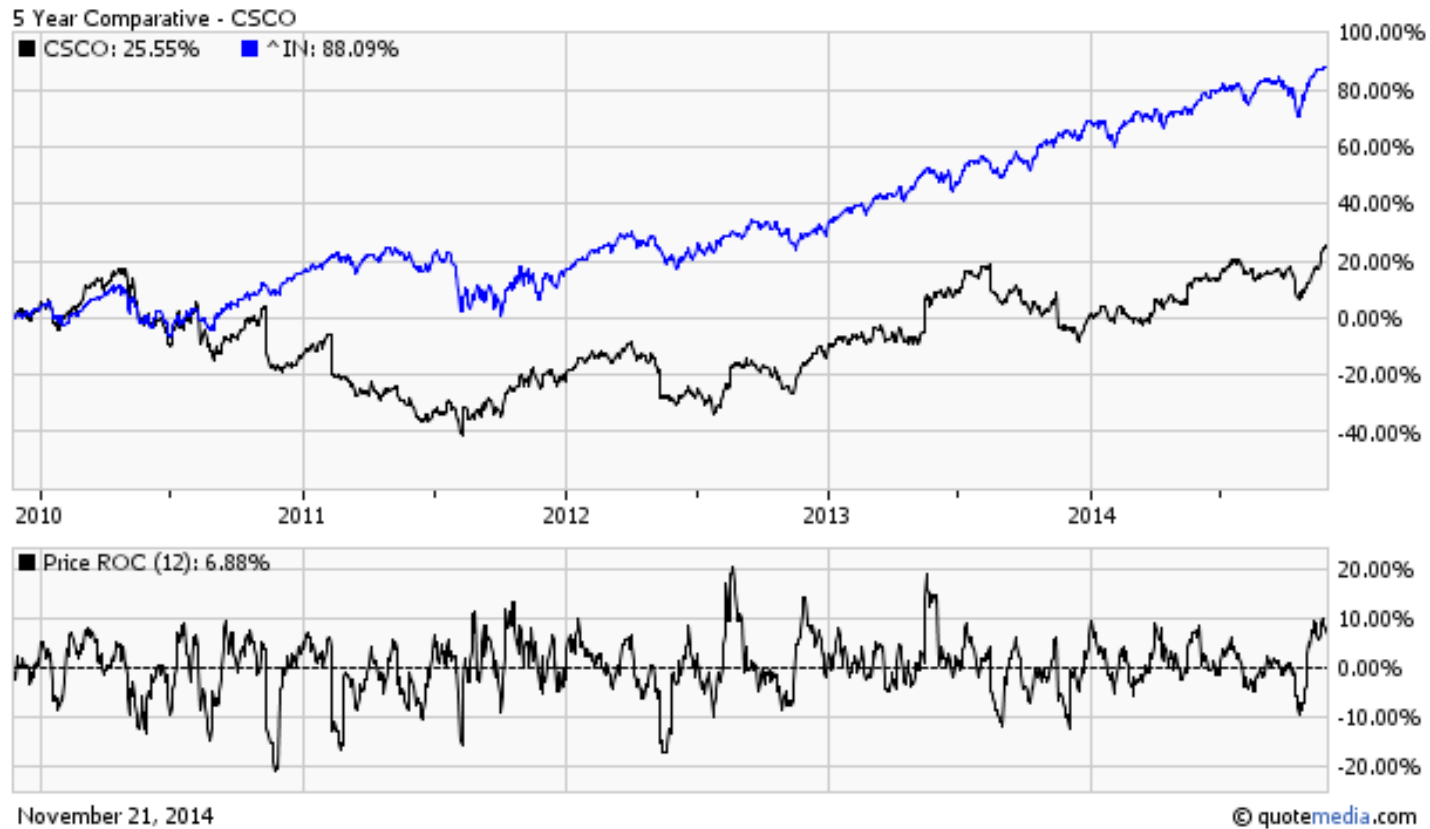
Part 1: Company Background [One page]

Industry	Network and Communication Devices
Major Competitors	1.Alcatel-Lucent, 2.Hewlett-Packard Company, 3.Juniper Networks Incorporated, 4.International Business Machines Corporation, and 5.Xerox Corporation
Headquarters	170 West Tasman Drive, San Jose California, 95134
Date Established	December 1984
Brief History	Cisco Systems was formed in 1984 as a result of Leonard Bosack and Sandy Lerner trying to connect computer networks in two separate buildings at Stanford University in California. As a result, Bosack and Lerner created the multi-protocol router and formed their own company named Cisco Systems after the city San Francisco, California. In 1986, the company's founders Bosack and Lerner were forced to leave Stanford University because they were accused of stealing the software for the multi-protocol router. Lerner was later fired from Cisco Systems in 1990 and Bosack resigned shortly after. It seems that Cisco Systems attempted several changes to grow the company from its market capitalization of 224 million in 1990 to its market capitalization of 500 billion in March of 2000. One of the first changes Cisco Systems underwent was that the company became publicly-traded on February 16, 1990 on the New York Stock Exchange and because the company had a new source of equity to finance its projects, it could develop more sophisticated network and communication devices such as routers, security systems, and cameras. Cisco Systems also hired its current CEO John Chambers in 1995 and the company's stock price has since increased from approximately 2 dollars per share to over 70 dollars per share and the stock has been split 5 times. The third strategic decision Cisco Systems underwent was from 1992 to 1994 when Cisco Systems acquired smaller companies such as Kalpana, Grand Junction, and Crescendo Communications that contributed to the overall increase in size of the corporation. Since March of 2000, it seems as if the management and executives of Cisco Systems continued to attempt to grow the company and attempt to increase overall sales through marketing campaigns to protect their market share as a result of the introduction of new companies such as Juniper Networks and Alcatel-Lucent in the network and communications industry. "The Human Network" marketing campaign was launched by Cisco in 2006 but it did not seem to increase the company's market share to the 500 billion it was in March of 2000 and as a result the company's annual expenses were decreased by 1 billion dollars. Cisco also seemed to try to increase its overall sales through building it's Globalization Centre East in Bengaluru, India and through acquiring a software developer NDS in July 2012.

	Since July 2012, it seems that the executives of Cisco Systems have been focusing their efforts on the new advertising campaigns “TOMORROW starts here” and “Internet of Everything” and it also seems that the executives have been focusing on investing in new projects on cloud computing. Since these advertising campaigns have been launched and the announcement of its interest in cloud computing, the company has announced it will lay off 6,000 employees.

Part 2: Stock Performance: Five Year Trends

Five Year Stock Chart



Discuss the stock performance and compare to S&P 500

After analyzing the results of the chart above adjusted for stock dividends and stock splits that plots the percentage change in stock price over the last 5 years of Cisco Systems and the percentage change of the S&P 500 stock index created from zacks.com and researching fluctuations of the stock price of other companies and news events, it seems that several external events outside of Cisco Systems have influenced the stock price to fluctuate lower and higher in comparison to the S&P 500 from January 2010 to November 2014.

It seems that one of the major reasons Cisco System's stock price decreased by approximately 30% from October 2010 to June 2011 was the increase in market share of major competitors such as Juniper Networks and Alcatel-Lucent in the network and communications industry. The first sign of Juniper Networks increased market share in the networks and communications industry was the increase of the Juniper Network's stock price during the same time period Cisco experienced a decrease in stock price, October 2010 to March 2011. According to the zacks.com 5 year comparative chart of Juniper Networks, Juniper Network's stock price increased to approximately 76% in comparison to the S&P 500 stock index price increase of about 20% from October of 2010 to

March of 2011. Cisco Systems other direct major competitor, Alcatel-Lucent also seemed to take away Cisco System's market share. According to the zacks.com comparative chart of Alcatel-Lucent's percentage change in stock price and the S&P 500 percentage change stock index, Alcatel-Lucent's stock price increased approximately 80% from October 2010 to April 2011. The S&P 500 only increased by about 20% within this time period.

The decrease in stock price from October of 2010 to June of 2011 may have also been a result of Cisco System's announcement to reduce annual expenses by 1 billion and to lay off 3,000 employees. Investors who actively traded on the New York Stock Exchange may have seen these announcements as negative indicators of the company's future performance and may have sold the company's stock in fear of the company's stock price being reduced.

On the other hand, Cisco Systems stock price increased in comparison to the S&P 500 during the month of May 2013 possibly because of two events. After creating and analyzing a chart from zacks.com comparing the stock price of Cisco Systems and the S&P 500 stock index from January 1, 2013 to December 31, 2013, it shows that Cisco System's stock price increased from a -3% change on May 1, 2013 to a 15% change on May 17, 2013. In comparison to Cisco Systems, the S&P 500 index went from approximately a 5% change to a 10% change from May 1, 2013 to May 17, 2013. The first reason for this increase in stock price may have been a result of Cisco System's marketing campaigns titled "TOMORROW starts here" and "Internet of Everything." The second possible reason for this increase in stock price may have also been because of Cisco System's announcement of its interest in cloud computing. There seems to be a relationship between corporations that express interest or invest in cloud computing and an increase in the corporation's stock price. According to the zacks.com 5 year comparative chart for Microsoft, a corporation that has announced it is planning to invest in cloud computing in recent years, the chart shows that Microsoft's stock price has steadily increased from a -2% change in January of 2013 to a 88% change in November of 2014. Another company that has announced it will invest in cloud computing, Apple Incorporated, shows even more of an increase in its stock price on zacks.com on the comparative chart going from a 160% change in 2013 to a 330% change in November of 2014. The reasons for a less dramatic percent change in stock price of Cisco Systems on zacks.com comparative chart in comparison to Microsoft Corporation and Apple Incorporated might be because of Cisco System's CEO reluctance to fully adopt cloud computing. The CEO of Cisco Systems, John Chambers, expressed his reluctance to adopt cloud computing quickly in relation to other corporations such as Microsoft and Apple Inc. through a statement he made about cloud computing in 2009: "It is a security nightmare and it can't be handled in traditional ways."

Part 3: Income Statement: Five Year Trends [One page]

Common Size	There may have been several events that caused the cost of goods sold of Cisco Systems to slowly increase from 35.96% of sales in the year ended July 31, 2009 to 41.09% of sales in the year ended July 31, 2013 and the gross profit of Cisco Systems to decrease from 64.04% of sales in the year ended July 31, 2009 to 58.91% of sales in the year ended July 31, 2013. The first reason Cisco System's cost of goods sold increased by this margin and gross profit decreased by this margin could have been the increased sophistication of products that could have required more expensive resources to create that Cisco System developed and sold from the years ended July 31, 2009 to July 31, 2013. One of the products that illustrated the increased sophistication of Cisco's products is a router successfully developed and released by Cisco Systems in January of 2010 that was designed to function in space connected to the satellite Intelsat 14. The raw materials required to produce this product could have required materials that were higher quality and more expensive than the typical routers Cisco Systems have sold in the past. The company's move towards more technologically sophisticated products was also illustrated shortly after the router was released in January of 2010 when Cisco announced its project titled Internet Routing in Space, which will focus on developing more routers and communications and networking equipment in space. Cisco Systems may have also experienced an increase in its cost of goods sold and a decrease in gross profit because of the prices the corporation chose to sell its new, more sophisticated products at. The company may have chosen to sell products such as its new satellite router at a price similar to the price of less sophisticated routers that required less costly raw materials to construct in the past.
Percentage Changes	After analyzing the percentage change income statement, it seems that several factors could have led to the 14.46% increase from July 31, 2009 to July 31, 2010 in Cisco System's selling, administration, depreciation, and amortization expenses. One of the biggest factors that could have caused this 14.46% increase from July 31, 2009 to July 31, 2010 was possibly the decision of the company's executives to increase the development of more sophisticated products to sell to its customers such as the United States government and individual businesses in the United States. The United States Financial Accounting Standards Board (FASB) Statement of Financial Accounting Standards 2 states that all research and development costs must be expensed when incurred. This requirement for Cisco Systems to expense all research and development costs on its new products such as the satellite router released in January of 2010 could explain the 14.46% increase in the selling, administrative, depreciation, and amortization expenses Cisco occurred during July 31, 2009 to July 31, 2010.

Part 4: Balance Sheet: Five Year Trends [One page]

Common Size	There seems to be a large percentage of long-term debt from total liabilities in the liabilities and shareholder's equity section of the balance sheet of Cisco Systems from zacks.com with 33% of liabilities being long-term debt on July 31, 2009 and 42% of liabilities being long-term debt on July 31, 2013. These long-term debt percentages from the total liabilities of Cisco Systems seems high in comparison to the percentage of long-term debt from total liabilities within other direct competitor's corporations who are in the network and communication devices industry. Other corporations who are direct competitors of Cisco Systems and who are in the network and communication devices industry include Juniper Networks, who has an average of 27% of long-term debt from its total liabilities from December 31, 2009 to December 31, 2013 according to zacks.com balance sheet, and Alcatel-Lucent, who has only an average of 4.87% of long-term debt from its total liabilities from December 31, 2009 to December 31, 2013 according to its zacks.com balance sheet. There may possibly be several causes for the percentage of Cisco System's long-term debt from Cisco System's liabilities to be high in comparison to similar corporations who are in the same industry such as Juniper Networks and Alcatel-Lucent. One reason that Cisco System's percentage of long-term debt from liabilities could be high in comparison to its competitors may be because the corporation believes the market rate of interest on long term notes and long term bonds is relatively low compared to the past. This lower cost of borrowing could have led Cisco Systems to call its bonds payable and extinguish it's long-term notes payable and replace the old bonds and notes payable with new bonds and notes payable. Cisco Systems could have also acquired additional long-term debt from July 31, 2009 to July 31, 2013 if it believed the market rate of interest was low during this time period.

Works Cited (APA Style)

Cisco CEO John Chambers – Cloud Computing a 'security nightmare' (n.d.). Retrieved November 22, 2014, from <http://www.paranet.com/blog/bid/65195/Cisco-CEO-John-Chambers-Cloud-Computing-a-security-nightmare>